

CAMBRIDGE IGCSE ACCOUNTING 0452

Topic 02 - Sources and recording of data

Premium Table Answer Booklet

21
questions

2021-2025
Paper 2

Premium
readable layout

Rebuilt for easier reading with structured tables, clear answer sections and highlighted workings. Use beside the matching topical question bank.

Contents

No.	Subtopic	Source
01	2.1 The double entry system of book-keeping	Oct/Nov 2021 Paper 21 Question 4 - 20 marks
02	2.1 The double entry system of book-keeping	Feb/Mar 2024 Paper 22 Question 4 - 20 marks
01	2.3 Books of prime entry	Feb/Mar 2021 Paper 22 Question 1 - 20 marks
02	2.3 Books of prime entry	Feb/Mar 2021 Paper 22 Question 5 - 20 marks
03	2.3 Books of prime entry	May/June 2021 Paper 22 Question 1 - 20 marks
04	2.3 Books of prime entry	Feb/Mar 2022 Paper 22 Question 1 - 20 marks
05	2.3 Books of prime entry	May/June 2022 Paper 21 Question 1 - 20 marks
06	2.3 Books of prime entry	May/June 2022 Paper 21 Question 3 - 6 marks
07	2.3 Books of prime entry	May/June 2022 Paper 22 Question 1 - 20 marks
08	2.3 Books of prime entry	Oct/Nov 2022 Paper 21 Question 2 - 20 marks
09	2.3 Books of prime entry	Feb/Mar 2023 Paper 22 Question 1 - 20 marks
10	2.3 Books of prime entry	May/June 2023 Paper 21 Question 1 - 20 marks
11	2.3 Books of prime entry	May/June 2023 Paper 22 Question 1 - 20 marks
12	2.3 Books of prime entry	Oct/Nov 2023 Paper 21 Question 4 - 20 marks
13	2.3 Books of prime entry	Oct/Nov 2023 Paper 22 Question 1 - 20 marks
14	2.3 Books of prime entry	Oct/Nov 2023 Paper 22 Question 3 - 20 marks
15	2.3 Books of prime entry	Feb/Mar 2024 Paper 22 Question 1 - 20 marks
16	2.3 Books of prime entry	Feb/Mar 2024 Paper 22 Question 5 - 20 marks
17	2.3 Books of prime entry	May/June 2024 Paper 21 Question 1 - 20 marks
18	2.3 Books of prime entry	May/June 2024 Paper 21 Question 2 - 20 marks
19	2.3 Books of prime entry	May/June 2024 Paper 23 Question 1 - 12 marks

Question 01

20 marks

Oct/Nov 2021 Paper 21 Question 4 - 20 marks

2.1 The double entry system of book-keeping

4(a)

Karishma

Insurance account

Date	Details	\$	Date	Details	\$
2020	2021				
Oct 1	Balance b/d	1700	Feb 28	Bank	300
2021	Sep 30	Income statement			
Feb 7	Bank	}	34000F	6200	
Aug 13	Bank	}	3500	Balance c/d	2100
8600	8600				
2021					
Oct 1	Balance b/d	2100			

Electricity account

Date	Details	\$	Date	Details	\$
2020	2020				
Oct 14	Bank	}	1800	Oct 1	Balance b/d
2021	}	2021			1800
Jan 24	Bank	}	1800	Sep 30	Income
May 26	Bank	}	1800	statementOF	5600
Sep 30	Balance c/d	2000	—		
7400	7400				
2021					
Oct 1	Balance b/d	2000			

Dates

4(b)

Advantages Fixed monthly payment Payments would be made automatically More difficult to fall behind with payments Cheaper than existing contract Helps with planning expenditure

Disadvantages

Risk: lose control her payment schedule able pick choose make payments Bank charges might increase Tied to two-year contract Need to consider reliability of new supplier Possible price increase after two years

Recommendation

4(c)

Karishma

Rent receivable account

Date	Details		Date	Details	
2021	2020				
Sep 30	Income	Oct 1	Bank	}	800
statementOF	1965	2021	}		
Balance c/d	510	Mar 2	Bank	}	825
—	Aug 8	Bank	}	850	
2475	2475				
2021					
Oct 1	Balance b/d	510			

Dates

4(d)

Current liabilities

END OF ANSWER

Question 02

20 marks

Feb/Mar 2024 Paper 22 Question 4 - 20 marks

2.1 The double entry system of book-keeping

4(a)

Sara

Inventory account

Date	Details		Date	Details	
2023	2023				
Jan 1	Balance b/d	5 811	Dec 31	Income statement	5 811
5 811	5 811				
Dec 31	Income statement	6 275	Balance c/d	6 275	
6 275	6 275				
2024					
Jan 1	Balance b/d	6 275			

+ dates

4(b)

Sara

Capital account

Date	Details		Date	Details	
2023	2023				
Dec 31	Drawings	19 260	Jan 1	Balance b/d	115 793
Balance c/d	116 713	Dec 31	Income statement	20 180	
135 973	135 973				
2024					
Jan 1	Balance b/d OF	116 713			

4(c)

Sara

Statement of financial position at 31 December 2023

	\$	\$	\$
Non-current assets		Accumulated	Net Book
Cost			
depreciation	value		
Premises	100 000	-	100 000
Fixtures and fittings	40 000	15 000	25 000
140 000	15 000	125 000	
Current assets			
Inventory		6 275	
Trade receivables		8 540	
Less Provision for doubtful debts		427	8 113
Cash		350	14 738OF
139 738			
Capital and liabilities Capital			
Opening balance			115 793
Profit for the year			20 180
	135 973		
Less drawings			19 260
	116 713		
Non-current liability			
Loan			12 000
Current liabilities			
Trade payables		5 125	
Other payables		1 000	
Bank overdraft		4 900	11 025OF
139 738			

4(d)

Advantages Key point: able sell customers wider area own transport customer convenience May increase gross profit/gross profit margin The delivery vehicle may be used to advertise the business Improved ability to compete with other traders

Key point: currently vehicles new vehicle uses collecting purchases Disadvantages

Risk: bank overdraft loan difficult obtain finance buy vehicle Must consider extra costs (fuel, insurance/depreciation/driver's wages

Risk: increase sales gross profit needs least sufficient cover vehicle running costs Key point: vehicle limited useful life need replaced Risk: Some customers potential unwilling pay delivery charge switch suppliers Recommendation

4(e)

Revenue receipts are amounts received by a business from its usual trading activities

END OF ANSWER

Question 01

20 marks

Feb/Mar 2021 Paper 22 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Shilpa Sales journal

Date	Details	
2021		
Jan 6	Kabir (200 - 40)	160
20	Pari	150
26	Yash	62
31	Transfer to sales account	372 OF

1(b)

Shilpa 11 Cash Book

Disc.	Cash	Bank	Disc.	Cash	Bank		
All'd	Rec'd						
2021	\$	\$	\$	2021	\$	\$	\$
Jan 1	Balance b/d	200	814 Jan 2	Rent	450		
9	Disposal	11	Dilip	50			
15	Sales	85	expenses	30			
21	Kabir	12	148	31	Balance c/d	150	818
24	Pari	9	—	141	—	—	
21	200	1298	200	1298			
Feb 1	Balance b/dOF	150	818				

OFOF + dates

1(c)

Shilpa

Dilip account

Date	Details	£	Date	Details	£
2021	2021				
Jan 10	Purchases returns	15 Jan 3	Purchases	90	
(20-5)	(120 - 30)				
Feb	1 Balance b/dOF	25			

1(d)

Debit note

Credit note

END OF ANSWER

Question 02

20 marks

Feb/Mar 2021 Paper 22 Question 5 - 20 marks

2.3 Books of prime entry

5(a)

$$(70 + 2) \times 130 = 93600F$$

5(b)

Maira

Key point: Income Statement trading section year ended 31 December 2020

	\$	\$
Revenue		150 000
Cost of sales		
Purchases (1 400 x 70)		98 000
Carriage inwards (1400 x 2)		2 800
	100 800	
Less Goods taken for own use		1 440CF/OF
Less Closing inventory		9 360OF from (a)
Gross profit		60 000OF (40% x revenue)

$$\text{Revenue } 2 \times 10\,800 = 21\,600 \quad 8 \times 12\,000 = 96\,000 \quad 2 \times 16\,200 = 32\,400 \quad 150\,000$$

5(c)

Advantages Key point: Maira all necessary balances individual ledger Key point: grows difficult prepare financial statements incomplete records

Detailed records would be available for future reference more reliable comparisons year-on-year/with other businesses is possible More informed decision making will be possible

Key point: government tax office require adequate records Key point: Maira wishes sell potential buyer wish see full records Lenders/potential lenders can be provided with adequate information Maira should be able to prepare financial statements more easily Maira should be able to prepare financial statements more accurately

Key point: Assist location errors checking procedures control used The possibility of fraud would be minimised

Disadvantages Maira's financial statements may be prepared from incomplete records

Key point: Maira busy she time book keeping It may take Maira time to learn double-entry book-keeping

Key point: spare time Maira find better spent marketing Risk: Maira pays book keeper write up her books cost reduce profits Recommendation

5(d)

Cash book	Purchases	Purchases
journal	returns journal	

Discount received from a
supplier for prompt payment

Credit note received from a
supplier

Direct debit paid to a supplier

5(e)

Comparability	Relevance	Reliability
---------------	-----------	-------------

Maira's inventory valuation should be free
from significant errors.

Maira's financial statements should be provided in time for her to use them when making decisions about her shop.

END OF ANSWER

Question 03

20 marks

May/June 2021 Paper 22 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Leo Petty Cash Book

Total	Total	Office	Ledger		
Date	Details	Travel			
received	paid	expenses	accounts		
	\$	2021	\$	\$	\$

	152	Bank		
5 Office cleaning			21	21
7 Train ticket			13	13

120	27	21	72
-----	----	----	----

91

211	30 Balance c/d	211
-----	----------------	-----

+ dates + OF totalling analysis columns

1(b)(i)

Travel - general ledger Hunter - purchases ledger

1(b)(ii)

Duality

1(c)

To remind Leo to pay the balance To Also valid: Leo to check his records To provide a summary of the transactions for the month/period

1(d)

Advantages Key point: need keep much cash premises Less risk of theft or fraud

Benefit: face meeting pay save time Or other relevant advantages

Disadvantages No source document immediately available Still have to pay amounts below \$50 by other methods May be easier / more suitable to use cheques May Increase bank charges Or other relevant disadvantages

Recommendation

END OF ANSWER

3	Petrol		35	35
8	Magazines		14	14
17	GL Limited		60	60
156		44	14	98
200		200		
156	BankOF			

+ dates

1(b)(ii)

Easier control of/check on petty cash expenditure There is a maximum amount which can be spent Theft/fraud is limited to the imprest amount

1(c)

Invoice	Credit note	Statement of
---------	-------------	--------------

account

A credit purchase

The balance owing by Nazmeen to a	row
-----------------------------------	-----

supplier at the end of the month

A purchases return	row
Trade discount deducted from list	row

price

Payment made to a supplier	row
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END OF ANSWER

Question 05

20 marks

May/June 2022 Paper 21 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Nakul Purchases journal

Date	Details	\$
2022		
Jan 12	Nadia (350 - 70)	280

1(b)

Nakul Purchases returns journal

Date	Details	\$
2022		
Jan 14	Nadia (80 - 16)	64

1(c)

Nakul

Nadia account

Date	Details	\$	Date	Details	\$
2022	2022				
Jan 2 Bank	441	Jan 1 Balance b/d	450		
Discount	9	12 Purchases	}	280	
14 Purchases returns	64	18 Purchases	}	320	
31 Balance c/d	536	—			
1050	1050				
Feb 1	Balance b/d OF	536			

1(d)

Current liabilities

Non-current liabilities

Trade payables

Bank overdraft

1(e)

Advantages Would delay the outflow of cash/will reduce bank overdraft May reduce bank overdraft charges/interest

Risk: Overdraft charges higher cash discount offered suppliers May currently be paying Nadia/suppliers quicker than is necessary

Disadvantages May lose the cash discount allowed by Nadia/suppliers Nadia/suppliers may charge interest on late payment

Risk: Nadia suppliers stop supplying reduce they supply damage relationship Key point: better methods improving cash flow selling cash terms for recommendation

END OF ANSWER

Question 06

6 marks

May/June 2022 Paper 21 Question 3 - 6 marks

2.3 Books of prime entry

3(a)

Jules Journal

Date	Details	Debit	Credit
\$	\$		
2022			
April 30	Equipment	1900	
YZH Limited	1900		

Purchase of hairdressing equipment on credit from YZH Limited

3(b)

Increase	Decrease
in profit	in profit

Heat and light

Depreciation

Insurance

3(c)

Jules Journal

Error	Details	Debit	Credit
number	\$	\$	
1	General expenses	28	
Suspense	28		
2	Isaac	36	

Error	Details	Debit	Credit
Suspense	36		
3	Wages	144	
Bank	144		
4	Suspense	76	
Discount received	76		
5	Commission receivable	200	
Rent	200		

3(d)

Jules

Suspense account

Date	Details	Dr	Date	Details	Cr
2022	2022				
April 30	Discount received	76	April 30	Difference on trial balance OF	12
General expenses	28				
—	Isaac	36			
76	76				

END OF ANSWER

Question 07

20 marks

May/June 2022 Paper 22 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Peter 11 Cash Book

Date	Details	Disc	Cash	Bank	Date	Details	Disc	Cash	Bank
All'd	Rec								
2022	\$	\$	\$	2022	\$	\$	\$		
Apr 1	Balance b/d	135	920 Apr 3 Rahat	42	798				
2	Sales	410	8 Motor expenses	42					
18	Sales	460	20 Samir	8	392				
25	Commission	29 Rafael	15	285					
received	115	30 Balance c/d	268	255					
595	1445	65	595	1445					
May 1 Balance b/d	268	255OF							

OFOF + dates

1(b)

Prepare reconciliation	Update cash book
------------------------	------------------

statement

Added to	Deducted		
bank	from bank	Debited to	Credited to

Items to be adjusted

statement	statement	cash book	cash book
balance	balance		

Bank charges

Direct debit for rent

Cheque paid to a supplier but not yet cashed
 Cheque for commission received dishonoured
 Dividend received

1(c)

Peter

Rahat account

Date	Details	£	Date	Details	£
2022	2022				
Apr 3 Bank	798	Apr 1 Balance b/d	840		
3 Discount	42	15 Purchases	288		
1 128	1 128				
May 1 Balance b/d OF	288				

END OF ANSWER

Question 08

20 marks

Oct/Nov 2022 Paper 21 Question 2 - 20 marks

2.3 Books of prime entry

2(a)

Reduces number of entries in main cash book Reduces the number of entries in ledger accounts

Can provide training for junior employee

2(b)

Rasheed - Petty Cash Book

Total	Date	Details	Total	Travel	Postage	Cleaning	Ledger
Received	Paid	accounts					
\$	2022	\$	\$	\$	\$	\$	
100	Sept 1	Cash					
2	Taxi fare	12	12				
7	Crystal	16	16				
18	Kalpa	15	15				
29	Cleaner	_28	—	—	28	—	
—	30	Balance c/d	14				
100	100						
14}* Oct 1	Balance b/d						
86}OF	Cash/Bank						

* For both balance and restoration OF

2(c)

Rasheed

Postages account

Date	Details	\$	Date	Details	\$
2022	2022				

Date	Details	£	Date	Details	£
Sep 30	Petty cash				

Purchases ledger

Crystal account

Date	Details	£	Date	Details	£
2022	2022				
Sep 7	Petty cash	16			
OR Sep 30					

2(d)

Rasheed

Inventory account

Date	Details	£	Date	Details	£
2022	2022				
Sep 30	Income statement	8 600	Sep 30	Balance c/d	8 600
8 600	8 600				
Oct 1	Balance b/d	8 600			

2(e)

Must compare with business in same trade Key point: Businesses different trades profit margins types assets expenses etc Key point: Must compare approximately same size capital Key point: Size affect purchasing power type non current assets etc Must compare with same type of business organisation

Risk: Must compare sole trader company partnership different types costs appropriate the profit between owners

Financial statements will not contain non-monetary items

Risk: Factors goodwill location skill workforce staff morale etc disclosed Key point: limited information available difficult obtain about businesses Key point: age non current assets average inventory future plans budgets etc available Businesses may use different accounting policies

Key point: Different methods deprecation used affect profits value non current assets Businesses may use different operating policies

Key point: Renting owning premises using funds loans capital selling credit cash affect Financial years may end on different dates

Key point: One year end inventory low high affect profit calculations assets Decision point: compare established approximately same time Risk: Longer established businesses time build up goodwill start costs Risk: Up 3 aspects problems comparison

END OF ANSWER

Question 09

20 marks

Feb/Mar 2023 Paper 22 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Saira 13 Cash Book

Date	Details	Disc	Cash	Bank	Date	Details	Disc	Cash	Bank
All'd	Rec								
2023	\$	\$	\$	2023	\$	\$	\$		
Jan 1	Balance b/d	110	713	Jan 4	Jai	7	343		
2	Rent receivable	360	7	Motor expenses	33				
13	Sales	395	17	David	6	194			
20	Ivan	12	388	27	Cash	150			
27	Bank	150	29	Wages	124				
12	260	1856	13	260	1 856				
Feb 1 Balances b/d	103	1169							

OFOF + OF both discount totals + dates

1(b)

Effect on bank balance

Items to be adjusted	Effect on capital
----------------------	-------------------

in cash book

Bank charges	decrease	decrease
Credit transfer from Saira's personal bank account	increase	increase
The cheque from Ivan was dishonoured	decrease	no effect

1(c)

User	Reason
------	--------

Bank manager	to see if she will be able to repay loan/overdraft/interest
Government	to see if she will be able to pay any tax which becomes due
Trade payables	to see if she will be able to pay what she owes/consider whether to Also valid: credit terms

END OF ANSWER

Question 10

20 marks

May/June 2023 Paper 21 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Shvan Petty Cash Book

Total received	Total Date	Office Details	Travel paid	Ledger expenses	accounts
\$	\$	\$	\$	\$	
2023					
139	Bank				
2	Giles	55	55		
3	Taxi fare	21	21		
6	Notepads and pens	18	18		
7	Office cleaning	30	30		

101

225	7	Balance c/d	225
101	Mar 8	Balance b/dOF	

+ dates

1(b)

Shvan

Giles account

Date	Details	\$	Date	Details	\$
2023	2023				
Mar 2 Petty cash	55	Mar 1 Balance b/d	165		
309	309				

Date	Details		Date	Details	
Apr 1	Balance b/d OF	144			

1(c)(i)

Direct debit Internet transfer Telephone transfer Credit transfer Debit/credit card

1(c)(ii)

Advantages of stopping using cash Safer - no cash on premises/no transporting cash to/from bank May reduce fraud A petty cash book would not be required

Benefit: saves time cash handling journeys bank need physically present exchange cash Bank transactions can be quicker

Disadvantages of stopping using cash Some customers/suppliers/service providers may prefer to use cash

Benefit: take longer receive funds via banking system using cash quicker **Key point:** useful keep some cash premises emergency use small expenses May incur extra bank charges Bank reconciliation may take longer/is more complex

for recommendation

END OF ANSWER

Question 11

20 marks

May/June 2023 Paper 22 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Omer 11 Cash Book

Date	Details	Disc.	Cash	Bank Date	Details	Disc.	Cash	Bank
2023	\$	\$	\$	2023	\$	\$	\$	
Apr 1	Balance b/d	120	Apr 1	Balance b/d	477			
3	Capital	1 000	7	Alexander	360			
10	Sales	695	15	Motor expenses	68			
23	Esme	16	384	16	Rent payable	400		
16*	120	2079	17*	120	2079			
May 1 Balance b/d	52	519						

OFOF *both discount totals + dates

1(b)

Omer

Alexander account

Date	Details	\$	Date	Details	\$		
2023	2023						
Apr 7	Bank	360	Apr 1	Balance b/d	360		
27	Bank	}	323	12	Purchases	}	340
Discount received	}	17	28	Purchases	}	235	
935	935						
May 1	Balance b/dOF	235					

1(c)

Option 1 - buy from Alexander only Advantages A offers cash discount but T does not A offers 5% cash discount

Benefit: cash discount higher trade Maintain good relationship with A Familiar with A's quality/reliability (Max 3)

Disadvantages T offers trade discount but A does not

May lose cash discount by not paying on time Depending on one supplier only A has no incentive to offer more competitive terms (Max 1)

Option 2 - buy from both Alexander and Tahir

Advantages T offers trade discount but A does not

Key point: Trade discount deducted invoice depend payment made Cost of buying goods from T is reduced Not dependent on one supplier

Key point: offer competitive terms compete supplier (Max 3)

Disadvantages A offers cash discount but T does not

Risk: trade discount lower cash May damage relationship with A Not familiar with T's quality/reliability (Max 1)

Recommendation

END OF ANSWER

Question 12

20 marks

Oct/Nov 2023 Paper 21 Question 4 - 20 marks

2.3 Books of prime entry

4(a)

Asia 11 Journal

Error	Details	Debit	Credit
number		\$	\$
1	Jacques	112	
Purchases	112		
2	Suspense	300	
Wages	300		
3	Suspense	75	
Savanah	75		
4	Sales returns	396	
Purchases returns	198		
Suspense	594		
5	Sophie	54	
Suspense	54		

4(b)

Asia

Suspense account

Date	Details	\$	Date	Details	\$
2023	2023				
Aug 31	Difference on trial balance	273	Aug 31	Sales returns	396
Wages	300				
Savanah	75				
648	648				

4(c)

Error	Profit for the	No	
Error	Gross profit		
number	year	effect	
+		- +	-
1	A credit purchase, \$112, from Jacques,		
had been debited twice to the purchases account.	YES	YES	
2	The wages account had been overcast by \$300.		

YES

	3	Cash received, \$75 from Savannah, a trade
receivable, had only been entered in the cash		YES

book.

	4	The total of the sales returns journal for August	
2023, \$198, had been credited to both the sales		YES	YES

returns account and the purchases returns**account.**

	5	A payment to Sophie, \$93, had been	YES
recorded as \$39 in Sophie's account.			

END OF ANSWER

Question 13

20 marks

Oct/Nov 2023 Paper 22 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Seok Sales journal

Date	Details	\$
2023		
Aug 3	Naomi (410 - 41)	369
	5 Bwana	89}

1(b)

Seok Sales returns journal

Date	Details	\$
2023		
Aug10	Naomi (20 - 2)	18
27	Bwana	19
31	Transfer to sales returns account	370F

1(c)

Seok

Naomi account

Date	Details	\$	Date	Details	\$
2023	2023				
Aug 1	Balance b/d	450	Aug 10	Sales returns OF	18
3	Sales }	369	11	Bank	423
22	Sales }OF	207	Discount allowed	27	

	1026	1026	
Sept 1		Balance b/dOF	558

1(d)

Seok

Sales ledger control account

Date	Details	£	Date	Details	£
2023	2023				
Aug 1 Balance b/d	991 Aug	31 Sales returnsOF	37		
Discount allowed	27				
Irrecoverable debts	155				
—	Balance c/d	794			
1836	1836				
Sept 1 Balance b/dOF	794				

END OF ANSWER

Question 14

20 marks

Oct/Nov 2023 Paper 22 Question 3 - 20 marks

2.3 Books of prime entry

3(a)

Lionel

Income Statement for the year ended 30 June 2023

	\$	\$
Revenue		90 000

Cost of sales

Purchases		67 175	OF
Less Purchases returns		3 000	
Less Closing inventory		4 175	60 000
Gross profit		30 000	

Less Expenses

Wages (8 060 + 2 600)		10 660		
Motor expenses (4 992	2/3)		3 328	
General expenses	1 140)			
Rent and insurance	5 585)			
Depreciation of motor vehicles/van (25%	8 000)		2 000	22 713
Profit for the year		7 287	OF	

3(b)

Lionel

Capital account

Date	Details	\$	Date	Details	\$
2023	2022				
June 30	Drawings	July 1	Bank	15 000	

(12 000 + 1 664)	13 664	2023		
Balance c/d	8 623	June 30	Profit for the yearOF	7 287
_____	_____			
July	1	Balance b/dOF	8 623	

3(c)

Full details are available about the assets, liabilities, revenues and expenses of the business The preparation of financial statements is relatively straightforward

Key point: profit loss year likely reliable accurate financial statements reliable and accurate More informed decision-making is possible

Key point: greater degree control activities exercised The possibility of fraud is reduced

Key point: Comparisons results previous years businesses Detailed records are available for reference purposes

Key point: Information required bank lender readily available

3(d)

Allowing Trade discount May encourage customers to purchase regularly / place repeat orders

Risk: successful increase revenue gross profit unsuccessful decrease profit Key point: Need record customers qualify discount invoices One-off customers may feel they are being overcharged

Key point: Some credit customers pay quickly encourage prompt payment Less money will be received Will lower profit / net profit for the year 3% may not be enough to encourage early payment May reduce risk of irrecoverable debts

Recommendation

END OF ANSWER

Question 15

20 marks

Feb/Mar 2024 Paper 22 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Gurjit Cash Book

Date	Details	Disc	Cash	Bank	Date	Details	Disc	Cash	Bank
Alld	Rec								
2024	\$	\$	\$	2024	\$	\$	\$		
Jan 1	Balance b/d	175	1 490	Jan 7	Sandy	29	551		
4	Sales	640	13	Wages	120				
19	Uma	415	21	Viraj	6	194			
25	Bank	100	25	Cash	100				
-	275 2 545	35	275	2 545					
Feb 1	Balance b/d	155 1 700OF							

OFOF

1(b)

Bank Updating cash reconciliation book

statement	
Bank error	YES
Cheque from Uma dishonoured	YES
Bank charges	YES

1(c)

For: The business already handles most payments through its bank.

Risk: Lower risk cash theft reduced fraud exposure better security using bank Cheques may be dishonoured/unpaid and reduced risk of stale/unpresented cheques Bank transfers are faster than cheque payments Bank charges may reduce if there are fewer cheques

Benefit: saves time visit bank pay cheques

Against:

Risk: Customers suppliers prefer use bank transfers deal cash cheques lose revenue some customers may not use bank accounts A charge may be incurred for electronic payments There may be system or card-terminal failures may interrupt payments online-banking fraud remains a risk A petty cash book/petty cashier would be required

Recommendation

1(d)(i)

Bank overdraft - when payments from the bank exceed deposits resulting in an amount that is owed to the bank

1(d)(ii)

Bank charges - A charge taken from the business bank account to cover the bank's costs of running the
account

END OF ANSWER

Question 16

20 marks

Feb/Mar 2024 Paper 22 Question 5 - 20 marks

2.3 Books of prime entry

5(a)

Sunita Journal

Error number	Details	Debit	Credit
1	Purchases	3 524	
	Sales returns	3 524	
	Suspense	7 048	

Correction of error of posting sales returns journal for November 2023

5(b)

Sunita

Suspense account

Date	Details	\$	Date	Details	\$
2023	2023				
Dec 31	Sales	19 415	Dec 31	Trial balance difference OF	17 085
M. Patel	}	129	Purchases	}	3 524
P. Mattel	}	129	Sales returns	}	3 524
Capital	5 000	Purchases	90		
Rent expense	450				

5(c)(i)

\$

Original gross profit per draft financial statements	66 223	
Error 1 (\$3524	2)	(7 048)
Error 2	(90)	
Error 3	19 415	

Gross profit for the year after correcting errors	78 500OF	
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5(c)(ii)

\$

Original profit for the year per draft financial statements	28 750
Adjustment from 5(c)(i) (78 500 - 66 223)	12 277OF
Error 6	(450)
Profit for the year after correcting errors	40 577OF

5(d)

78 500 100

Gross profit =	OF	whole formula = \$196 250OF
1	40	

END OF ANSWER

Question 17

20 marks

May/June 2024 Paper 21 Question 1 - 20 marks

2.3 Books of prime entry

1(a)

Addo Sales journal

Date	Details	
2024		
Apr 2	Ava (150 - 9)	141
	12 Nuru	165
	21 Mahia (480 - 24)	456

1(b)

Addo

Journal

Date	Details	Debit	Credit
	\$	\$	
2024			
April 30	Irrecoverable debts		215
Rachel		215	

Amount due from Rachel written off as irrecoverable

1(c)(i)

Total amount received = \$689 + \$627 + \$760 = \$2 076

1(c)(ii)

Total cash discount = \$40 + \$33 = \$73OF

1(d)

Addo

Sales ledger control account

Date	Details		Date	Details	
2024	2024				
April 1	Balance b/d	3 658	April 30	Sales returns	30
Discount allowedOF	73				
Irrecoverable debts	215				
—	Balance c/d	2 026			
4 420	4 420				
May 1	Balance b/dOF	2 026			

1(e)

Advantages Benefit: Increased cash discount encourage new customers existing buy increase sales More customers may pay early because of extra discount/strengthen liquidity Irrecoverable debts may be reduced Increased credit check indicates ability to pay

Disadvantages More credit checks would take more time/cost more money Less money coming in from sales No guarantee that customers will pay early

Risk: profit sale profit year reduced expenses increased give cash discount No guarantee that there will not be any irrecoverable debts

Recommendation

END OF ANSWER

Question 18

20 marks

May/June 2024 Paper 21 Question 2 - 20 marks

2.3 Books of prime entry

2(a)

Paul 11 Journal

Error number	Details	Debit	Credit
		\$	\$
1	Purchases	140	
	Office equipment	140	
2	Bank	18	
	Discount received	18	
3	Carriage inwards	82	
	Carriage outwards	82	
	Suspense	164	
4	Insurance	750	
	Bank	750	
5	Bank	90	
	Suspense	90	

2(b)

\$

Original cash at bank balance per draft financial statements	3 290
Error 2	18
Error 4	(750)
Error 5	90
Bank balance after correcting errors	2 648OF

2(c)

\$

Original profit for the year per draft financial statements	9 268	
Error 1	(140)	
Error 2	18	
Error 3 (82	2)	(164)
Error 4	(750)	
Profit for the year after correcting errors	8 232OF	

END OF ANSWER

Question 19

12 marks

May/June 2024 Paper 23 Question 1 - 12 marks

2.3 Books of prime entry

1(a)

$(\$21 + \$47 + \$44) - \$15 = \$97$ OF

1(b)(i)

cash book sales journal sales returns journal purchases journal purchases returns journal journal / general journal

1(b)(ii)

Useful for preparing control accounts Assist in collating and summarising accounting information Remove detail from the ledgers Bookkeeping can be divided among several people

1(c)(i)

Depreciation for the year ended 30 April 2022 12 000	25% 3 000 }	
Depreciation for the year ended 30 April 2023 (12 000 - 3 000) 9 000	25%	2 250 }
Accumulated depreciation at 30 April 2024	5 250OF	

1(c)(ii)

Lottie

Disposal of motor vehicle account

Date	Details	£	Date	Details	£
2024	2024				
Apr 30	Motor vehicles	12 000	Apr 30	Provision for depreciationOF	5 250
Y Limited	6 000				
—	Income statementOF	750			

1(d)

Valuation per unit	Total valuation		
Item	Number of items		
	\$	\$	
A	(14 + 1 =) 15	60	900
B	17	85	1 445
C	22	30	660

3 0050F

1(e)

Lottie

Insurance account

Date	Details	\$	Date	Details	\$
2023	2024				
May 1	Balance b/d }	60	Apr 30	Income statement	360
Aug 1	Bank }	360		Balance c/d	60
420	420				
2024					
May 1	Balance b/d OF	60			

Dates

END OF ANSWER